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REPORT PREVIEW
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GLOBAL

Distressed Credit Weekly Wrap

US Leveraged Finance Survey: Risk sentiment sours

After a tense and unpredictable first half to the year, conflict escalation and a potential flare-up of tariff tensions present significant wildcards for risk investing.

While the leveraged credit markets have largely shrugged off geopolitical uncertainty, PitchBook LCD's survey of buyside, sellside, and advisory professionals suggests a shift toward more defensive positioning.

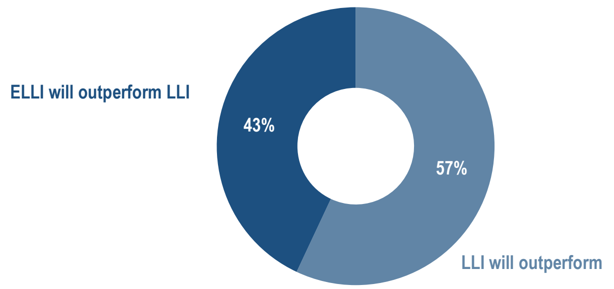
Among the questions asked: Will credit spreads widen or tighten? Will issuers increasingly turn to out-of-court workouts to address balance sheets? Will European loans outperform US loans?

The full results of the Q2 2025 US Leveraged Finance Survey, which closed June 16, are detailed below.

Key points:

- Credit spreads expected to widen
- US projected to outperform Europe
- Riskiest triple-C loans fall out of favor
- Loan underwriting standards not expected to change
- Leverage multiples will remain steady
- Tech, Utility sectors expected to outperform

Will the US Leveraged Loan Index or European Leveraged Loan Index outperform in the next six months?



Source: PitchBook | LCD • Data through June 16, 2025

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May sees 19 defaults, most since Oct. 2020 – S&P page 4
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The "sell America trade" that swept global markets could ease in the second half of the year, with 57% calling for the Morningstar LSTA US Leveraged Loan Index to outperform the European Leveraged Loan Index in the next six months. This would mark a reversal of the year-to-date trend, as the European loan market returned 2.22% through to the end of May, versus 1.99% for US loans.

LCD asked market participants their opinion on the most important considerations when buying leveraged loans. Ranking in order of most important (1) to least important (6), cash flow generation received 63% of the votes as the single most important consideration when buying leveraged loans.

Rank in order the importance of the following when buying leveraged loans, from most important (1) to least important (6)

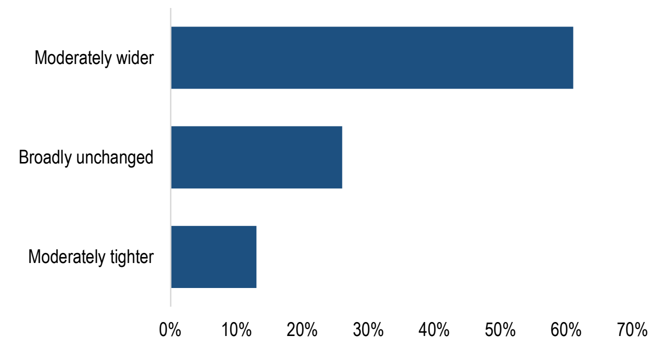
	1	2	3	4	5	6
Cash flow generation	63	23	10	0	5	18
Leverage	16	36	33	9	10	18
Permissive documentation	11	14	14	35	30	9
Margin and OID	5	9	33	39	20	9
Ownership	5	18	10	17	35	45

Source: PitchBook | LCD • Data through June 16, 2025 • Data reflects the distribution of rankings as a percentage of total responses.

Only 5% chose margin and OID as the most important. Meanwhile, ownership was seen as the least important by 45% of respondents.

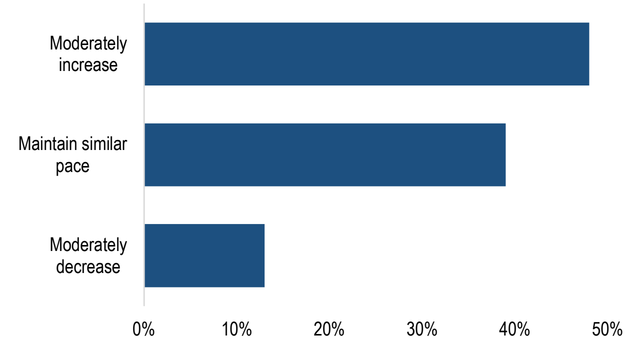
Unsurprisingly given uncertainty around a shifting geopolitical landscape, the majority of those polled (61%) believe credit spreads will moderately widen in the next six months. This marks a deterioration in sentiment from the Q1 reading, when 52% of respondents said they expected credit

In the next six months, credit spreads will be...



Source: PitchBook | LCD • Data through June 16, 2025

In 2025, LME activity will...

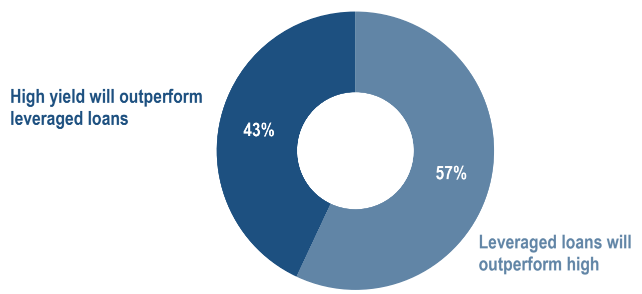


Source: PitchBook | LCD • Data through June 16, 2025

spreads to moderately widen, and a complete shift from Q4 2024, when 51% of respondents had forecasted moderately tighter spreads in the next six months and just 15% expected them to moderately widen.

Only 13% expect spreads to moderately tighten, down from 17% in the prior survey.

Will leveraged loans or high-yield bonds outperform in the next six months?



Source: PitchBook | LCD • Data through June 16, 2025

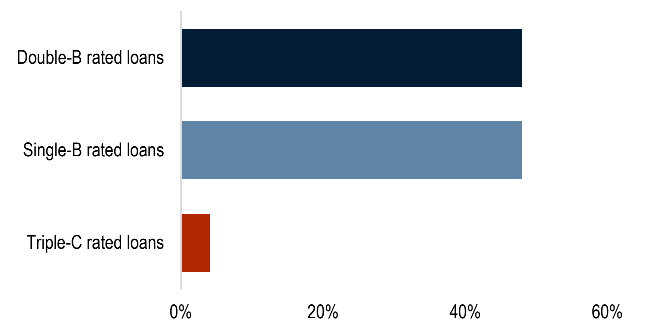
With the Street consensus timeline for the next Fed rate cut pushed out from July to September, floating-rate leveraged loans as an asset class remain attractive for investors looking to clip higher coupon payments. As such, respondents expect leveraged loans will outperform the fixed-rate high-yield bond asset class in the next six months, with 57% calling for floating-rate loans to outperform. This is a change of course from the previous quarterly reading, when 52% backed high-yield bonds.

As of the end of May, high-yield bonds had returned 2.71% year-to-date, versus 1.99% for leveraged loans.

Amid ongoing geopolitical uncertainty and relatively high interest servicing costs for borrowers, the vast majority of market pros, at 87%, expect distressed liability management exercises to either match the record-setting pace of 2024 or to increase moderately, up from 66% in the first quarter. Furthermore, the latest reading saw a larger share, at 48%, call for a moderate increase in LMEs, versus 31% in Q1.

No respondents called for a significant increase, or a significant decrease, in LME activity.

Which ratings bracket do you expect will outperform in the next six months for leveraged loans?

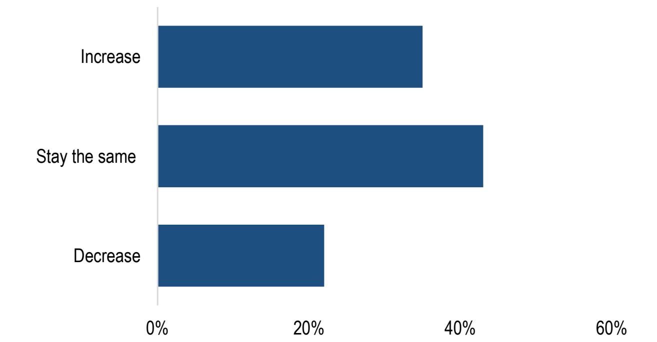


Source: PitchBook | LCD • Data through June 16, 2025

Expectations regarding performance by credit rating hold for a flight away from risk in leveraged loans, with 48% calling for double-B loans to outperform in the next six months, and 48% projecting single-B loans to outperform. By comparison, in the Q1 reading, 38% said double-B rated loans would outperform in the next six months, up from 19% at year-end.

Only 4% see triple-C loans outperforming, down from 10% in Q1 and 11% at year-end 2024.

In the next six months, the average leverage multiples of buyouts will...

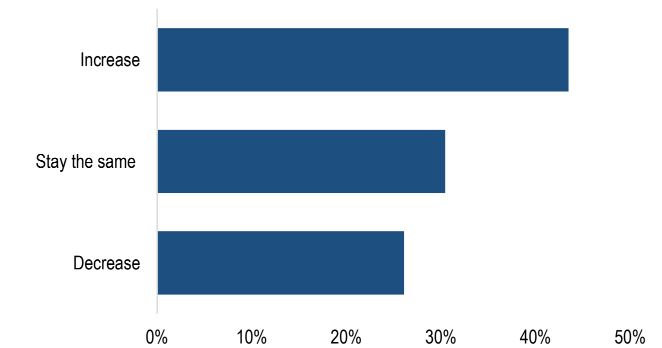


Source: PitchBook | LCD • Data through June 16, 2025

A plurality of respondents (43%) expect leverage multiples on buyouts to stay the same in the next six months. Some 35% expect higher leverage multiples. Though up from 21% at the Q1 reading, sentiment from the year-end reading has deteriorated, when 72% of market pros predicted leverage multiples on new deals to increase.

LCD's analysis of LBO deals clearing the market shows companies continued to fund sponsor buyouts in the US loan market at relatively low leverage levels. Average pro forma debt multiples stood at 5x as of the end of March, up from a 13-year low of 4.9x in 2023, but still significantly more conservative than the risk-on peak of 6.0x in 2019, and the 10-year average for leverage of 5.7x.

In the next six months, the average equity contributions of buyouts will...

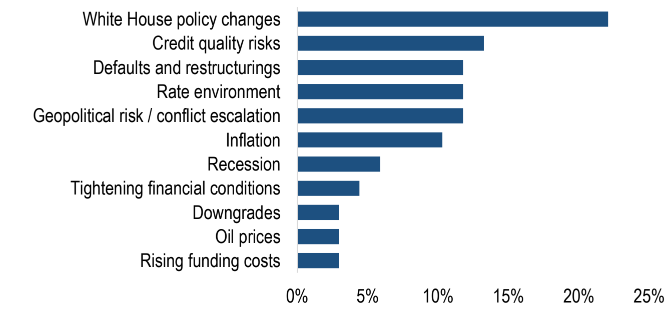


Source: PitchBook | LCD • Data through June 16, 2025

As for equity contributions, consistent with the more negative tilt in sentiment, a greater share of respondents this quarter expect sponsors will need to offer up more equity to get buyout deals over the finishing line.

In this reading, 43% said they expect equity contributions for buyouts to increase in the next six months, up from 28% in the prior quarter.

Which of the following will most likely impact leveraged credit portfolio performance over the next six months?



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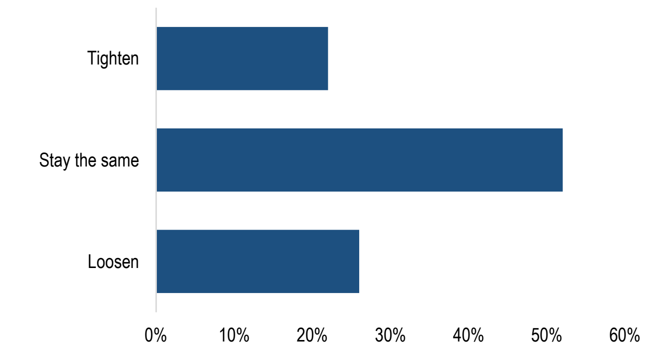
In terms of what will drive the markets, respondents were asked to choose the three factors most likely to impact the performance of leveraged credit portfolios in the next six months.

With the July 9 tariff deadline fast approaching, White House Policy / Tariffs took top billing, garnering 22% of the votes. Credit Quality Risks came in second, at 13%, while Defaults and Restructurings, the Rate Environment, and Geopolitical Risk / Conflict Escalation tied for third.

In the next six months, underwriting standards for BSLs will...



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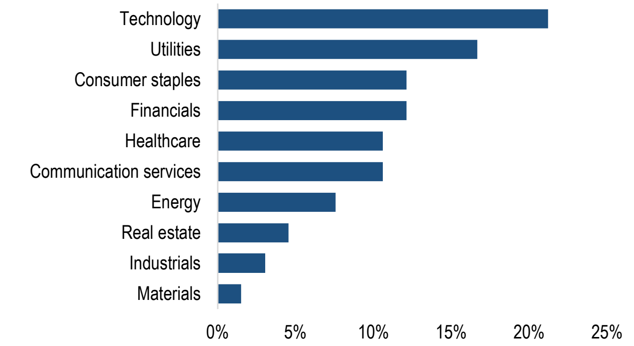
With the technical backdrop mostly favouring the borrower, and with aggressive or coercive liability management exercises continuing to create uncertainty for lenders to distressed companies, LCD asked about the direction of underwriting standards for broadly syndicated lending. Sentiment was mixed: 52% of respondents expect underwriting standards to remain the same, while 26% expect standards to loosen and 22% expect them to tighten.

Which market sectors will outperform in the next six months?



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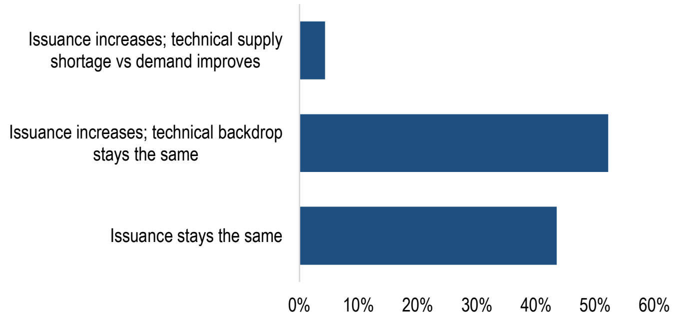
Asked which sectors (up to three) would most likely outperform in the next six months, Technology took first place with 21% of the votes, followed by Utilities at 17%, and Consumer Staples and Financials each with 12%. The relative bullishness toward non-discretionary sectors may hint at caution over the effect of the Trump tariffs on discretionary spending.

Regarding M&A-related issuance via broadly syndicated loans in H2 2025, which do you expect?

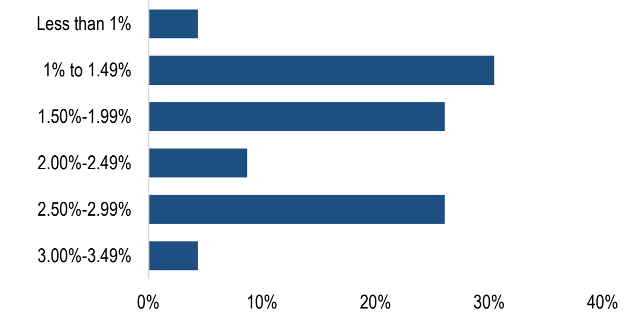


Source: PitchBook | LCD • Data through June 16, 2025

With sentiment cautious, respondents once again called for M&A-related issuance via broadly syndicated loans either to be unchanged or to increase but not by enough to improve the technical supply shortage.

By comparison, for the first time since LCD first asked this specific question in the year-end 2023 reading, a slight majority of respondents at the year-end reading indicated there would be enough new loan paper from M&A-related issuance to improve the current technical imbalance. Indeed, amid a revival of M&A issuance, March and April recorded the first supply surplus in 17 months.

What do you think the rolling 12-month US loan default rate will be one year from now (6/30/2026)?



Source: PitchBook | LCD • Data through June 16, 2025

When asked to predict the loan default rate 12 months from now, conviction weakened from the prior survey. A plurality (30%) of respondents see the trailing 12-month default rate of the Morningstar LSTA US Leveraged Loan Index by amount in June 30, 2026 (excluding LMEs) to be in a 1-1.49% range, or 1.25% at the midpoint. In the Q1 reading, 45% of respondents put the future default rate in this range.

Open mic

Finally, respondents in an option for open comment detailed their thoughts on trends and other items driving the leveraged credit markets:

"Dry powder, retail funds and the need to deploy [capital] will loosen credit underwriting standards and drive riskier deployment with the increasing shift towards cov-lite/borrower-friendly terms."

"M&A activity will remain muted given geopolitical tensions and the rate environment."

"Sponsor backed companies that are overlevered and have continued to kick the can will have the rubber meet the road given mounting [distributed to paid-in-capital] pressure and the rate environment likely not improving materially in the next year — driving increased defaults and debt for equity or LME transactions."

"As always, CLOs will dictate the direction of the leveraged loan market."

"[The] public market will modestly take back share from private credit."

— Rachelle Kakouris

See this story and the underlying Excel data on the PitchBook platform.

May features 19 corporate defaults, highest monthly tally since Oct. 2020 – S&P

The monthly corporate default count hit 19 in May, the highest monthly tally since October 2020 during the height of the pandemic, according to a recent report by S&P Global Ratings. The year-to-date default count stands at 53 as of May 31, below the 69 defaults at the same point in 2024, the agency said.

Regionally, the US led May's defaults with nine, bringing its YTD total to 30, 25% below 2024's 41 at the end of May. Europe saw six defaults in May, for a YTD tally of 16, under 2024's 19 at the same point.

Emerging markets experienced three defaults in May, raising its 2025 total to four defaults, though down from the six through May last year.

Other developed countries (Canada, Australia, New Zealand and Japan) logged a single default in May, for three YTD at the end of the month, equaling the total through May last year.

S&P noted that May's default spike — more than twice April's tally of eight — ran counter to the declining default trend earlier in 2025, "showing the vulnerability of lower-rated borrowers amid market volatility and an uncertain economic landscape."

Consumer-oriented sectors led May's defaults, with consumer products, media & entertainment and healthcare each recording two defaults in the month. Those three sectors now account for 43% of 2025's total defaults, S&P said.

The agency added that "higher-for-longer interest rates and the cumulative effects of inflation" are drawing down consumers' discretionary income and their savings, especially among lower-income brackets.

May's defaults included eight distressed exchanges and eight missed debt payment defaults, although distressed exchanges dominate YTD, being responsible for 58% of 2025's defaults so far, S&P said.

The agency noted that 40% of 2025's defaults were among repeat defaulters, greater than the 28% at May's month-end in 2024.

By dollar amount, defaults in May totaled $13.8 billion, S&P computed, with 74% coming from US defaults.

By cause, 63.7% of the defaulted debt amount was attributed to distressed exchanges, followed by 23.6% from missed payments and 12.7% from bankruptcy filings.

— Jack Hersch

Recent DIP loans

Issuer	Date	Industry	Loan rating	Sponsor	TLB	Lead agent
Everstream Solutions (DIP 6/25)	May 29, 2025	Telecommunications	NR/NR	Not Sponsored	$177.5M / SOFR+1000	Societe Generale
Village Roadshow Entertainment (DIP 4/25)	Mar 17, 2025	Media	NR/NR	Not Sponsored	$12.8M / NA	Bank of America
Mitel Networks (DIP 4/25)	Mar 9, 2025	Telecommunications	NR/NR	Not Sponsored	$131M / NA	Bank of America
Exela Technologies (DIP 4/25)	Mar 4, 2025	Professional & Business Services	NR/NR	Not Sponsored	$185M / NA	PNC Bank
Everde Growers (DIP 3/25)	Feb 25, 2025	Forest Products	NR/NR	Not Sponsored	$51M / SOFR+700	Acquiom Agency Services
Container Store (DIP 2/25)	Jan 2, 2025	Retailing	NR/NR	Not Sponsored	$115M / SOFR+650	
Hearthside Food (1/25)	Dec 18, 2024	Food And Beverage	BB/NR	Not Sponsored	$300M / NA	
CareMax (DIP 12/24)	Nov 19, 2024	Healthcare	NR/NR	Not Sponsored	$122M / NA	
Wellpath Holdings (DIP 12/24)	Nov 13, 2024	Healthcare	NR/NR	HIG Capital	$105M / SOFR+725	UBS AG

Sources: PitchBook | LCD; market sources

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